

PRELIM QUIZ 2: ITEC84

MULTIPLE CHOICE: Shade the correct answer on the answer sheet provided.

1. What is one of the criteria for measuring globalization?

- A) Cultural Homogeneity
- B) Political Engagement**
- C) Environmental Sustainability
- D) Local Governance

2. Which of the following is included in personal contact as a measure of globalization?

- A) International treaties
- B) Telephone calls**
- C) Foreign direct investment
- D) Economic sanctions

3. What does technological connectivity measure in the context of globalization?

- A) Number of multinational corporations
- B) Number of internet users**
- C) Number of trade agreements
- D) Number of cultural exchanges

4. Which country ranked first in the overall ranking of Best Countries in 2024?

- A) United States
- B) Japan
- C) Switzerland**
- D) Canada

5. What is a criticism of globalization related to developed and developing countries?

- A) Unequal players in globalization**
- B) Equal distribution of resources
- C) Increased cultural exchange
- D) Enhanced technological growth

6. According to neoclassical economic theories, where does capital flow?

- A) Towards areas of expensive labor
- B) Only to developed countries
- C) Equally across all regions
- D) Towards areas of cheap labor**

7. What is one of the consequences of globalization?

- A) Decreased international travel
- B) Widening gap between the rich and the poor**
- C) Increased tariffs on all countries equally
- D) Enhanced local industries

8. How much more do developed countries impose tariffs on developing countries compared to those on developed ones?

- A) Two times higher
- B) Three times higher
- C) Four times higher**
- D) Five times higher

9. What is a potential negative effect of foreign corporations entering local markets?

- A) Strengthening local brands
- B) Increasing local employment rates
- C) Wiping out domestic industry**
- D) Enhancing cultural diversity

10. What is an example of increased market volatility caused by globalization?

- A) Stable pricing of global commodities
- B) Reduction in international trade disputes
- C) The popularity of a movie affecting gem prices**
- D) Increased tariffs on developing countries

11. Which event caused a boom in demand for tanzanite?

- A) The release of a popular film**
- B) An economic crisis
- C) A trade agreement
- D) An environmental disaster

12. What concern arose from Chinese manufacturers using lead in toys?

- A) Increased sales
- B) Consumer safety issues**
- C) Improved quality
- D) Enhanced brand loyalty

13. What is one impact of globalization on nation states?

- A) Increased sovereignty
- B) Strengthened national borders
- C) Enhanced control over economies
- D) Diminishing power**

14. Which organization is a key example of international coalitions that impact the authority of nation-states?

- A) United Nations
- B) World Health Organization
- C) European Union**
- D) International Monetary Fund

15. What has globalization done to domestic industries in many cases?

- A) Strengthened them significantly
- B) Made them more competitive globally
- C) Led to their decline or takeover by foreign entities**
- D) Increased their market share locally

16. What is often a result for workers in developing countries due to globalization?

- A) Increased salaries in all industries
- B) Stable and secure employment
- C) Unfair treatment and substandard working environments**
- D) Comparable opportunities to those in advanced economies

17. How do developed countries often restrict trade with developing countries?

- A) By reducing tariffs
- B) By imposing high tariffs**
- C) By promoting free trade agreements
- D) By providing subsidies

18. In what way has globalization affected market reactions worldwide?

- A) Markets are now completely independent
- B) Stock markets are interconnected globally**
- C) Local markets have no influence from global events
- D) Market volatility has decreased significantly

19. What happens when a country surrenders its sovereignty due to globalization?

- A) It becomes less powerful in global affairs**
- B) It gains more control over its economy
- C) It strengthens its national identity
- D) It increases its economic independence

20. Which factor is NOT typically associated with technological connectivity?

- A) Number of secure servers
- B) Number of internet users
- C) Level of political engagement**
- D) Number of internet hosts

21. What can be a direct consequence for consumers due to market volatility linked to globalization?

- A) More stable prices for goods
- B) Increased availability of products
- C) Enhanced consumer protection laws
- D) Uncertainty about product safety and availability**

22. Which aspect does NOT contribute to economic integration as a measure of globalization?

- A) Foreign direct investment
- B) International trade levels
- C) Domestic market restrictions**
- D) Cross border investments

23. Why might developing countries struggle under globalization according to critics?

- A) They receive excessive foreign capital investment
- B) They lack the presence of multinational corporations to compete on a global scale
- C) They are frequently subject to the influence of more powerful nations and corporations**
- D) They enjoy equal benefits from global trade agreements

24. What is one criticism regarding the distribution of gains from globalization?

- A) Gains are evenly distributed among all nations
- B) Only capital rich individuals benefit significantly from globalization**
- C) Middle classes in developed countries are thriving due to globalization
- D) Developing nations are leading global economic growth

25. How do critics perceive the impact of multinational corporations on economies in developing nations?

- A) As collaborators that strengthen local economies
- B) As organizations that solely advocate for fair trade practices
- C) As entities that weaken local industries and economies**
- D) As players that contribute to equitable wealth distribution